GMS WEEKLY

Your Source for Recycling News

July 14th, 2023
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Week 28

Highlights:

- **Frustrations abound.**
- **Flow slows.**
- **Mills yet to resume.**
- **LC woes.**
- **Pak back?**
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QUOTE of the WEEK

"It ain't about how hard you hit.
It's about how hard you can get hit and keep moving forward."

– Sylvester Stallone

MARKET COMMENTARY

MAROONED!

It has been another frustrating week across all of the major ship recycling destinations, with prices marooned / flat and businesses yet to fully resume at pace following the conclusion of Eid holidays.

In the interim, the good news has of course been the accession of the Bangladeshi Ship Recycling Sector to the Hong Kong Convention (HKC), as further progress is made in recycling markets before the convention formally enters into force.

Meanwhile, the lack of tonnage is also starting to subside as prices seem to further correct / stabilize and Ship Owners & Cash Buyers start to accept the reality that current prices are here to stay. Moreover, as Vessel Owners head off on their summer holidays, those with units on the verge of surveys are also making the decision to sell, all at a time when constant rains are seeing sub-continent yards operate at minimal labor capacity.

Bangladeshi steel mills too are yet to fully resume operating at capacity, which is why demand for new vessels remains rather muted. As such, even on any available tonnage, prices on offer remain way below expectations and the realistic prices of today.

L/Cs and financing issues once again burden the Bangladeshi market; however, this is expected to ease in the coming week(s) as End Buyers try again to negotiate acceptable rates with the Central State Bank (as witnessed earlier this year).

After years of turmoil, Pakistan recently received encouraging news of an IMF loan that will see about USD 3 billion committed over the next 9 months, further easing the liquidity crisis in the country. The first installment of USD 1.2 billion has already been received, bringing some much-needed economic relief & stability to the country and we may finally see them re-enter the ship recycling realm once commercial banks resume issuing L/Cs.

Finally, at the far end and amidst the ongoing scarcity of tonnage, the Turkish market faces further downfalls in fundamentals this week.

For week 28 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh*	Stable	560 / LDT	590 / LDT	610 / LDT
2	India	Stable	510 / LDT	530 / LDT	550 / LDT
3	Pakistan*	Weak	500 / LDT	520 / LDT	540 / LDT
4	Turkey	Weak	320 / LDT	330 / LDT	340 / LDT

**Subject L/C approval*

BANGLADESH

PAUSE!

Yet to get back.

Following the conclusion of Eid holidays, Bangladeshi Buyers are yet to get back to the buying as very few offers at reasonable (or even acceptable) levels have been forthcoming this week.

As such, Ship Owners and Cash Buyers are starting to turn to other markets / India, so inert is the Bangladeshi market at present - and it may be that we see this market on the sidelines over the quieter summer / monsoon months.

No local sales.

The previous problem surrounding Central Bank permissions is continuing to affect the financing of fresh L/Cs once again, whilst fundamentals, especially local steel plate prices have continued to flatline for some time now.

Even the Bangladeshi Taka continues to tread at record-breaking highs against the U.S. Dollar, all while local Recyclers continue to present opportunistic below-market offers on units being proposed.

As a result, infrastructure projects are mostly on hold due to the incessant rains & lack of steel from the mills, and the fact that steel mills have yet to fully reopen / resume business following Eid holidays.

Notwithstanding, on the sales front, as Chinese owners continue their clear out of older tonnage, this week, the General Cargo / Bulk Carrier vessel XIANG HE (9,016 LDT) managed to fetch a decent USD 520/LT LDT basis an 'as is' Singapore delivery.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
XIANG HE	General Cargo	9,016	USD 520/LT LDT ('as is' Singapore)

INDIA

NOT WORKABLE!

Indian levels continue to confound and disappoint the industry as Alang Buyers believe that offering levels below USD 500/LDT will entice Ship Owners and Cash Buyers to part with their vintage tonnage.

Disappointing.

Unsurprisingly, few sales have materialized into Alang, and any available tonnage looks set to head to competing markets (with three yards in Bangladesh now class NK HKC certified), including a newly funded Pakistan after news of the IMF loan broke this week.

Lowballing.

Fundamentals too remain volatile as local steel plate prices declined by about USD 13/Ton this week, while the Indian Rupee straddles around the Rs. 82s against the U.S. Dollar.

As such, if the current trends persist, we can certainly expect a quieter summer in Alang as End Buyers continue to complain about market conditions and give unworkable & unreasonably opportunistic offers, all when Owners may as well sell elsewhere or continue trading their vessels.

NO MARKET SALES REPORTED

PAKISTAN

LOAN APPROVED!

IMF help.

News about the recent USD 3 billion IMF bailout loan has been forthcoming into Pakistan, with USD 1 billion already being received by the country, and this may give the ship recycling industry some hope that Pakistan could get back to some form of buying in the weeks / months ahead – especially if a portion of the funds are allocated to the domestic ship recycling sector.

HKC needs.

As such, as soon as commercial banks start sanctioning fresh L/Cs, we may see some deals taking place into a recycling location that has otherwise been starved of tonnage for most of the year, due to the ongoing and dire political & economic circumstances in the country.

Of course, Gadani Recyclers will need to seriously focus on upgrading their facilities and keep up with the ongoing industry changes, especially as the HKC enters into force in Bangladesh, else Pakistan seems destined to miss out on tonnage altogether.

Fundamentals aren't too supportive either, especially as domestic steel plate prices continue to flatline for months on end and the Pakistani Rupee that recently firmed to PKR 277 against the U.S. Dollar, has stayed there during the course of the week.

As such, and like its competing neighbors, we can certainly expect a quieter summer / monsoon in Pakistan.

NO MARKET SALES REPORTED

TURKEY

GOING DOWN?

The Turkish market seems poised to soften moving forward, as not only did local steel plate prices decline by about USD 20/MT, even import steel prices followed suit with a decline of about USD 10/MT of their own.

Steel down.

All while the Turkish Lira glides along and gradually weakens deeper into TRY 26.2X territory against the U.S. Dollar. And this is unravelling whilst the shortage of tonnage continues to deteriorate local sentiments well past Eid holidays.

As such, it's certainly a reasonable bet that the Turkish recycling market may face a correction in prices in the weeks ahead.

Reasonable bet.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *In about 130 million years, the sun will consume the Earth as it becomes a red giant.*
- *The sun is almost a perfect sphere. There is only a slight compression around the circumference.*
- *It takes an average of eight minutes and twenty seconds for light from the sun to reach the Earth.*
- *The sun travels in the galaxy at speed of about 220 kilometers per second.*
- *The sun is 4.5 billion years old, but it's only at about middle age for stars.*
- *Volcanoes are actually holes in the surface of the Earth. These punctures in the crust let magma from the core of the Earth, bubble to the surface.*
- *Due to the fact that volcanoes are holes in the surface of the Earth, volcanoes are frequently found at the edges of the Earth's tectonic plates.*
- *The most famous volcanic eruptions of modern times include the eruption of Mount Pinatubo in 1991, Mount St Helens in 1980, Novarupta in 1912, and Mount Krakatoa in 1883.*
- *The biggest known volcano in the solar system is on Mars. It's about 373 miles (600 kilometers) wide and 13 miles (21 kilometers) high.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
July 28 – July 29 – Ashura August 15 – Independence Day August 31 – Raksha Bandhan	July 13 – July 22 July 30 – August 07 August 14 – August 20 August 28 – September 06

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
July 29 – Ashura August 15 – National Mourning Day	July 18 – July 21 August 01 – August 04 August 16 – August 19 August 30 – September 02

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No Holidays in July & August	July 27 – July 28 – Ashoora August 14 – Independence Day	July 15 – Democracy and National Solidarity Day August 30 – Victory Day

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ALANG - Port Position as of July 14, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Lara*	*23,707*	*LNG Carrier*	*Beached July 08*
2	Ora	872	General Cargo	Arrived July 11
Total Tonnage		**24,579**		

CHATTOGRAM - Port Position as of July 14, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Chian Jin*	*1,416*	*Reefer*	*Beached July 09*
2	*Hao 3*	*4,767*	*General Cargo*	*Beached July 08*
3	Hong Hao	11,857	General Cargo	Arrived June 20
4	*Hua Dong 27*	*3,520*	*General Cargo*	*Beached July 12*
5	Marchie 8	1,593	General Cargo	Arrived July 10
6	Phu Hui 2	3,286	General Cargo	Arrived July 13
7	Rui	7,608	Bulk Carrier	Arrived July 13
8	Shandong Express	8,658	Woodchip Carrier	Arrived July 14
9	Well Win	8,940	Bulk Carrier	Arrived July 11
Total Tonnage		**51,645**		

GADANI - Port Position as of July 14, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported.		
Total Tonnage		**-**		

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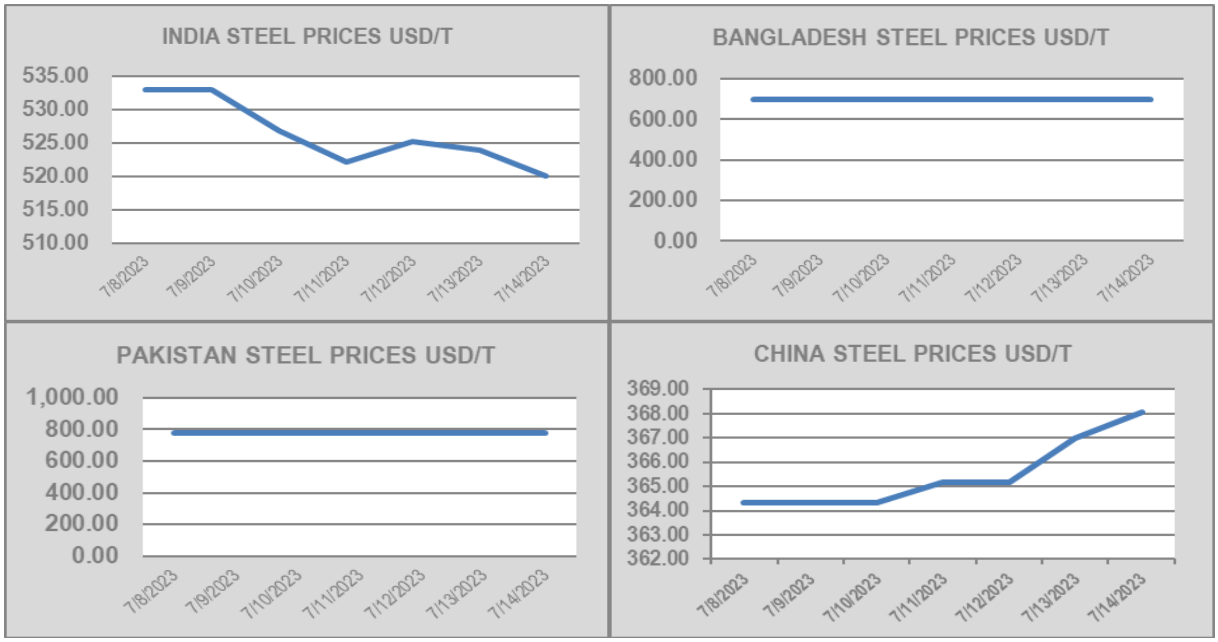
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
7/8/2023	532.99	44,100.00	777.39	220,000.00	695.24	73,000.00	364.35
7/9/2023	532.99	44,100.00	777.39	220,000.00	695.24	73,000.00	364.35
7/10/2023	526.89	43,500.00	777.39	220,000.00	695.24	73,000.00	364.35
7/11/2023	522.10	43,000.00	777.39	220,000.00	695.24	73,000.00	365.16
7/12/2023	525.23	43,200.00	777.39	220,000.00	695.24	73,000.00	365.16
7/13/2023	523.88	43,000.00	777.39	220,000.00	695.24	73,000.00	366.99
7/14/2023	520.10	42,700.00	777.39	220,000.00	695.24	73,000.00	368.07



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